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Bimbo 2Q15 Preview: Higher sales and slight improvement in margins

BUY, Target Price: MXN $44

July 9th, 2015

During the 2Q15, we would expect the consolidation of Canada Bread and Europe to continue benefiting results for Bimbo. With an aggressive inorganic growth strategy, we would expect margins to improve slightly as leverage is reduced. If margins expand as we expect, the stock would react positively to the earnings report.

Increase in sales: We are expecting a 10.3% YoY growth for consolidated revenues over the 2Q14, as a result of Canada Bread's consolidation, together with a recovery in the consumption in Mexico. United States and Europe should display marginal improvements.

Margins would improve slightly: We expect that the consolidation of subsidiaries around the globe provide sufficient free cash flow for Bimbo to reduce its Net Debt / EBITDA ratio, which is currently at 3.7x, to at least 2.5x in 2016. However, the recent acquisition of Panrico in Spain and Portugal would delay this reduction and drag margins for a few more quarters. The most recent information revealed that the operation is pending approval by the authorities and that transaction amounts to 190M Euros.

Report highlights – We will focus our attention in the volume figures both for national and international operations. Specifically, we are expecting a recovery in Mexico, United States and Canada, which together account for nearly 87% of total revenues.

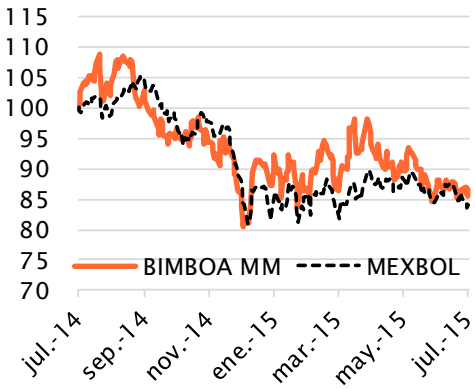
Grupo Bimbo SA CV

BIMBOA MM

Price (MXN, as of 07/09/2015)	P$41.77
Buy	
Target Price	P$44.00
Stock Price Return	5.3%
Dividend Yield	0.4%
Expected Total Return	5.8%
Market Cap (MXN mn)	196,453
Shares Outstanding (mn)	4,703.2
Free Float	24%
Beta (3 yr, vs MEXBOL)	1.05
Daily Value Traded (avg, USD mn)	5

Source: Interacciones and the company

BIMBOA MM vs MEXBOL



Source: Bloomberg

Multiples	2013	2014	2015e	2016e	2017e
P/E	46.0x	51.5x	26.8x	20.1x	11.7x
P/BV	4.3x	3.9x	3.7x	3.4x	3.0x
EV/EBITDA	14.6x	15.8x	11.6x	9.7x	7.6x

Estimates	2013	2014	2015e	2016e	2017e
Revenues	176,762.6	188,796.0	212,670.0	223,093.9	232,352.3
EBITDA	16,170.3	16,318.9	23,185.8	27,682.7	34,438.1
EBITDA Margin (%)	9.1%	8.6%	10.9%	12.4%	14.8%
Net Income	4,270.3	3,816.7	7,320.4	9,753.7	16,778.0
Net Margin (%)	2.4%	2.0%	3.4%	4.4%	7.2%
EPS	0.91	0.81	1.56	2.07	3.57
BVPS	9.70	10.84	11.16	12.20	13.98

Source: Interacciones Research and the company

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Summary of Quarterly Estimates

BIMBO	2Q15e	2Q14	Chg %
Revenues	50,214	45,540	10.3%
Operating Profit	2,765	3,295	-16.1%
Operating Margin	5.5%	7.2%	-1.7%
EBITDA	5,461	4,646	17.5%
EBITDA margin	10.9%	10.2%	0.7%
Net Profit	1,716	1,617	6.1%
Cash Flow	3,990	2,888	38.1%
EPS	0.365	0.344	

Figures in MXP million except EPS
Source: Mexican Stock Exchange, ICB estimates

Target Price History

BIMBOA: Historic Target Price(s) & Recommendation(s)		
Date of change	18-jul-14	18-sep-14
Target Price	**P$44.00**	**P$44.00**
Recommendation	2	1

** Recommendations: 1=Buy, 2=Hold, 3=Sell*

Company Description

Grupo Bimbo, S.A.B. de C.V. is the market leader on bread-making. Bimbo produces over 10,000 products and offers a portfolio of more than 100 high-prestigious product families, such include: Bimbo, Marinela, Barcel, Ricolino, Oroweat, Arnold, Mrs. Baird's, Thomas', Brownberry, Entenmann's, Pullman, Plus Vita, Nutrella, Sara Lee, Fargo, Lactal, Silueta, Ortiz, Martínez, and Eagle. As well as Canada Bread, which consolidates results, since June, 2014.

Bimbo has 175 plants distributed throughout the world, among them, 41 are located in Mexico, 69 in the United States and Canada Bread has 25 plants.

Bimbo reaches consumers through more than 2.2 million sale points and products with presence in 20 countries worldwide: Argentina, Brazil, Canada, Chile, China, Colombia, Costa Rica, El Salvador, Guatemala, Honduras, Mexico, Nicaragua, Panamá, Paraguay, Peru, Portugal, Spain, United States, Uruguay and Venezuela.

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Additional information available upon request.

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